

Wooing advertisers

With other forms of media and advertising pretty much saturated, the one place ad revenues are set to grow is online. Over the past decade we've seen radio ad spends fizzle out into nothing. Print is headed the same way pretty soon, with hundreds of thousands of news papers and magazines closing all across the globe, the shakeout's already happened, and weaker publications will be weeded out over the next few years. Television is going as strong as it can be, and despite hundreds of channels available, most ad slots seem to be filled. With just 24 hours in a day, and prime time slots pretty much dedicated to the huge corporates, where does everyone else go?

To Google, of course. With revenue per quarter in the billions (something like \$10 billion in the last quarter) Google dominates the Internet advertising market. Of course, this may not change very quickly, but it may not stay that way forever either, all because of one major factor.

The one thing that Facebook has to offer – with genuine reliability – is real people, with real information about them. Internet advertising works on impressions and clicks, and no one really knows too much about who is seeing those impressions and who clicks – unless there's a sign-up process involved, which automatically reduces the numbers involved.

With Facebook, companies have the ability to target not just age groups, but geographical locations, cities, towns, gender, and even interests. That's just an unbeatable option for smaller businesses who don't have the mammoth budgets of corporates. Let's say you run a video game business in Mumbai and Delhi. With Facebook ads, you could target young males (ages 13 - 24), only from Mumbai and Delhi. It's cheap, and can get a decent amount of branding for your small business with Facebook exactly at your target audience – no wasted time and money!

Thus, the big business spends will remain divided across the advertising giants that be, but we see tremendous potential for Facebook to corner the market on small businesses. Given that small businesses contribute, very roughly, between 30 and 50 per cent

to a country's GDP, that's also a huge untapped market, especially with the next generation of entrepreneurs sure to be technology and net savvy!

On the go

Mobile net access platform is pretty much where Facebook will make or break it – as will Google. Companies in general haven't really found a good way to monetise it in terms of ads, and with the skyrocketing number of mobile users across the globe, you can bet on someone figuring out a way to do exactly that.

Google has a big advantage with its Android platform that's taken off like wildfire. Facebook on the other hand has an app that leaves a lot to be desired – especially on slower Indian networks.

However, it's not just a question of ads, it's a question of usage patterns. Although a lot of people do Google searches from mobile devices, we've all become so used to the format the results are displayed in that we're less likely to click on an ad from a mobile device. However, most people will probably have the Facebook app running all day on their handheld devices, and check it several times a day to reply to messages or wall posts, update profiles, check-in to places, upload photos, etc.

Rumour has it that by the time you get this magazine, Facebook will have announced a mobile advertising strategy. Some say that the recent acquisition of mobile payment collection company Bango points in this direction, while perhaps there's something completely different being plotted. For example, what Bango will enable Facebook to do is to purchase apps, digital stuff for Zynga's games, or even goods from Facebook's other clients, without the pain of needing to fill in credit card information. Want to buy something via the Facebook app? Just click buy and the amount is automatically added to your mobile bill (at least in the US and some other countries).

We spent some time looking at how Team Digit uses their phones, and Google Maps for directions is certainly one area where Google rules, but when people unwind, it's games, YouTube and Facebook all the way. We're pretty sure that Facebook will figure out a way to mon-

etise the mobile platform – it has to in order to keep growing.

Oh the humanity!

The biggest reason we think Facebook will be successful is basic human nature. Unlike Google, where we go to find out stuff, usually with a purpose, and more often for work-related queries – not counting the billions of searches for porn and such. Basically it's a transactional relationship with Google. You want something – answers, web sites, information, directions, check email, etc. – it provides it to you. You know what you're looking for when you do that, and yes, you'll click on ads when they seem to be the answer to your query.

On the other hand, Facebook is a place you go to unwind, chat up with friends, show off pictures of your trip to the Himalayas, or just snoop on your friends. You're more relaxed when you do this, more open to clicking on links that seem funny, more open to spending money on having some fun. You don't mind spending a small amount on *FarmVille*, so long as you get your fix of pointless fun. You might buy a product on a whim when you're relaxed and having fun – provided it's not a pain to do so.

In general, Facebook has you by the, err, ears, when it comes to keeping you hooked. It's not as focused as every other popular site out there, and that's its biggest strength – giving it the opportunity to diversify and attempt to find new ways to make money off your addiction to fun. 

